PAPERS

RELATING TO THE

FOREIGN RELATIONS

OF

The United States,

TRANSMITTED TO CONGRESS,

WITH THE ANNUAL MESSAGE OF THE PRESIDENT,

DECEMBER 6, 1875.

PRECEDED BY A

LIST OF PAPERS AND FOLLOWED BY AN INDEX OF PERSONS AND SUBJECTS.

VOLUME I.

WASHINGTON:
GOVERNMENT PRINTING OFFICE.
1875.

By-law.—Inward pilotage fees are payable within twenty-four hours of the vessel's entering at the custom-house, but masters may refuse to pay the said fees until such time as they are assured by the harbor-master or his deputy that the vessel is properly berthed.

Outward pilotage fees are payable before the vessel leaves the anchorage.

GENERAL REGULATION 2.

Pilots—Individuals eligible.

The subjects, citizens, or proteges of treaty powers shall, equally with natives of China, and without distinction of nationality, be eligible for appointment when vacancies occur by the board of appointment, subject to the general regulations now issued and the by-laws to be under them enforced at the several ports respectively.

By-law.—No person shall be accepted as a candidate for a pilot's license who cannot produce a proper certificate of service as master or mate.

GENERAL REGULATION 3.

Board of appointment; how to be constructed.

The board of appointment shall consist of the harbor-master, as president, the (or an) senior pilot, and two persons whose names shall be drawn by lot by the harbor-master, from a list prepared and published by the harbor-master in consultation with the consuls and chamber of commerce.

GENERAL REGULATION 4.

Vacancies: how to be filled up.

1. Whenever there may be a vacancy among the pilots, it shall be duly notified to the local press; and eight days afterward the board of appointment shall proceed to fill it up by a competitive examination.

2. The board may refuse to admit to the examination any one who, having once been a licensed pilot, has had his license withdrawn, and also any candidate who is unable to produce consular certificates as to character, &c.

3. The examination shall be public and gratuitous, and the vacancies shall be given to the most competent among the candidates, without distinction of nationality; provided, always, the competency of the first on the list be not relative, but absolute.

4. The consul concerned may, in person or by deputy, be present and take part in the examination of candidates.

5. The majority of the votes of the members of the board shall decide the admission of candidates for pilot-licenses, each member having one vote in the ballot; but in the absence of the consul concerned the harbor-master shall have a casting vote.

No. 128.

Mr. Fish to Mr. Williams.

No. 196.] DEPARTMENT OF STATE,
Washington, November 9, 1874.

SIR: Your dispatch No. 57,* referring to the case of General Le Gendre, and inclosing a copy of the protest of Go Sheki, acting Japanese consul at Amoy, and Mr. Henderson's reply, has been received.

This protest states that General Le Gendre was the commissioner in China of his Imperial Japanese Majesty, and immunity from trial and punishment, according to the treaty provisions, is claimed for him on that ground.

You discuss this question and the questions which arise from the

* See Foreign Relations for 1874, page 304.

position taken by General Le Gendre in his own protest, filed in the consular court.

The discharge of General Le Gendre, and the dispatch of the Department No. 194, inclosing a copy of a dispatch addressed to Mr. Seward, covering the general questions arising from his arrest and discharge, make further reference to the case unnecessary.

In reference to the protest of the Japanese consul, and the immunity claimed for him by that official and by General Le Gendre, the question, in the absence of any further action by the Japanese authorities, becomes an abstract one, and may need no further discussion.

But as it has been intimated that some further action may be expected, the Department will await the necessity of considering it, not being at present precisely advised as to the details concerning the employment of General Le Gendre with the Japanese. If you have any trustworthy information on this point, you will be pleased to communicate it.

The public prints of to-day state, on the faith of a telegram from Shanghai, that the Formosa difficulty has finally been adjusted, and it is sincerely hoped that such may be the case.

I am, &c.,

HAMILTON FISH.

No. 129.

Mr. Avery to Mr. Fish.

No. 6.] LEGATION OF THE UNITED STATES,
Peking, November 12, 1874. (Received January 28, 1875.)

SIR: I have the honor to inclose herewith (inclosure 1) a translation of a communication from Prince Kung, under date of November 6, giving the terms of the agreement lately effected between China and Japan, which is referred to in my No. 3 and Mr. Williams's No. 70, both sent by this mail, together with a copy of my reply to Prince Kung, (inclosure 2.) There is a feeling of relief here that all danger of hostilities growing out of the Formosa trouble is now happily ended. I trust that the course of this legation in contributing to this result will meet your approval.

I have, &c., BENJ. P. AVERY.

[Inclosure 1 in No. 6.—Translation.]

Prince Kung to Mr. Avery.

TUNGCHI, 13*th year*, 9*th moon*, 28*th day*, (November 6, 1874.)

Prince Kung, chief secretary of state for foreign affairs, herewith makes a communication.

It being well known that the Japanese government had taken a military force to that part of Formosa occupied by the aborigines, and as the first article of the American treaty of 1857 contains a stipulation "that, if another nation should act unjustly or oppressively, the United States, on being informed of the case, will exert their good offices to bring about an amicable arrangement of the question, thus showing their friendly feelings," it was in accordance with its spirit that the foreign office last August transmitted to Mr. Williams a copy of the correspondence which had then passed between this government and the Japanese ministers. An arrangement having now been effected with the Japanese, involving the withdrawal of their troops and settlement of the affair, it has been decided to regard all the documents which have passed

between us in relation to this affair as *non arenu*, recalling and canceling them all, so that hereafter they may not be quoted as valid or as a precedent.

Seeing that the territory occupied by the aborigines in Formosa, the subdued as well as the savage, all equally forms part of His Majesty's dominions, it is, of course, incumbent on this government to take measures to restrain those people, and prevent them from ever again injuring or killing mariners who may be cast among them. By this means friendly relations will be confirmed between us.

I have now the honor to inclose a copy of the articles of agreement and the stipulations about the payments, for your excellency's information, and shall be gratified to receive your early reply.

To His Excellency BENJAMIN P. AVERY,
United States Minister.

[Inclosure in 1 in No. 6.—Translation.]

The following preamble and articles of agreement having been carefully discussed and assented to, copies of them have been exchanged as evidence [of the terms of settlement.]

As the people of every country are bound to protect others within its borders, and see that they suffer no injury, it is consequently obligatory on each country to take such measures as will secure this protection; and if wrongs have been suffered, the country which has the grievance should look to the other for redress. Now, therefore, seeing that the aborigines of Formosa had destroyed and barbarously injured certain people under the protection of Japan, it was the purpose of that government to call them to account for these acts, and to this end they dispatched troops to that region to punish them and bring them to order. The whole matter having now been fully discussed with the Chinese government, the three following stipulations, relating to the withdrawal of the troops and the manner of preventing like outrages in future, have been agreed upon by the two parties.

I. As Japan had in view the protection of her subjects in all that she has now done, [in Formosa,] China does not regard those acts as wrong.

II. China binds herself to pay an indemnity to the families of the sufferers; and, as she desires to retain the improvements made there in opening roads, erecting houses, and in other things done there, she hereby agrees beforehand that she will pay a sum to recoup this outlay, the amount to be hereafter determined upon.

III. All the documents which have passed between the two parties in relation to this affair are hereby recalled and canceled, so that they may not hereafter be quoted as precedent. China will take every proper measure to restrain the aborigines of that region, so that hereafter no injuries shall be suffered by unhappy mariners who may be cast ashore among them.

Terms in relation to indemnity for the Formosan outrages.

His excellency T. F. Wade, her Britannic Majesty's minister, having now clearly stated all the points at issue between our two countries, the following stipulations for the payments have been signed and copies exchanged this day:

China will first pay 100,000 taels to Japan, as indemnity to the families of the men who were killed in Formosa. She will further pay 400,000 taels to Japan when the troops now in Formosa have been withdrawn, and take possession of the roads opened, houses erected, and other things done there. The money for the last will be all paid on the 20th of December next, on which day the troops will all leave, each party fulfilling his own part without fail. If Japan does not withdraw all her troops on that day, the money will not all be paid up. A copy of this agreement has been signed by each party, in testimony of its adoption.

[Inclosure 2 in No. 6.]

Mr. Avery to Prince Kung.

LEGATION OF THE UNITED STATES,
Peking, November 10, 1874.

SIR: I have the honor to acknowledge your communication of the 6th instant, informing me that in August last you had forwarded to Mr. Williams a copy of the correspondence which had then passed between the imperial government and the Japanese

relative to the Formosan affair, trusting to the good offices of the United States for help in the matter, in accordance with the friendly assurance in the American treaty of 1857; and also informing me that an amicable arrangement has now been made with Japan whereby that nation formally recognizes the sovereignty of China over the whole of Formosa and agrees to withdraw her troops therefrom, China admitting on her part that Japan was justified in seeking to punish the savages, and agreeing to make compensation for the wrongs inflicted by the latter, and for the roads, buildings, and other works made by Japan on the island. You had a right to expect the friendly offices of the United States, and it gives me pleasure to state that they have been exerted, both here and in Japan, by the representatives of my Government, in the way of preventing our citizens from engaging in warlike operations against a nation with which we are at peace; in advising against any invasion of the sovereignty of China; and in lending support to proposals for a peaceful settlement on a basis alike honorable and just.

It is with sincere satisfaction that I have read the terms of settlement with Japan, which are inclosed in your highness's communication, and which prove the readiness of the imperial government to concede all that was just when assured that the territorial rights of China would be respected. The admission made in the preamble that "it is incumbent on this government to take measures to restrain the Formosan savages and prevent them from ever again killing or injuring mariners cast among them," is only a righteous recognition of the duties of sovereignty and humanity, and is no more than China can honorably admit or than other great nations admit and practice. It is a natural sequence of this that a country suffering wrongs from any failure on the part of another to restrain its savage subjects "should look to the other for redress." China affords this redress in the case of Japan by allowing a money compensation. The whole settlement, therefore, comports with the obligations and dignity of the imperial government. Doubtless, the efforts that will hereafter be made to subdue the Formosan savages will lead to such a development of the resources of the island and such an increase of commerce as will redound largely to the profit of the Chinese people and government.

In conclusion, allow me to congratulate your highness that the danger of war on this subject has been so happily averted, and that the imperial government is free to study how it may advance the peaceful progress of China.

I have the honor to be, sir, your imperial highness's obedient servant,

BENJ. P. AVERY.

His Imperial Highness Prince KUNG, *&c.*, *&c.*, *&c.*

No. 130.

Mr. Avery to Mr. Fish.

No. 7.] LEGATION OF THE UNITED STATES,
Peking, November 12, 1874. (Received January 28, 1875.)

SIR: You are well aware with what persistency this legation, as well as other legations, has labored to impress the Chinese authorities with the advantages of railroad and telegraph enterprises as means of developing the resources of the empire, swelling its gains through an extended commerce, and giving the government more power and facility in asserting its authority and enforcing order in districts remote from its secluded capital. You are aware, also, that the Chinese authorities have met all arguments on this subject by assertions of the dangers to be feared from the introduction of novelties, loss to the people from throwing them out of employment, &c. Undiscouraged by repeated failures, the advocates of progress have continued their efforts to move the Chinese mind and to arouse this old empire from its inertia.

Latterly it would seem that the Chinese are beginning to learn and to yield a little under the pressure so long applied. They contemplate apparently without alarm, certainly without comment or protest, the work now under way for the construction of an experimental railroad at Shanghai. This road, only twelve or fourteen miles long, is to connect that important city with the Woosung bar, in the river-entrance to the harbor, which at low tide so often delays vessels inward-bound. It is

purely a private enterprise, promoted by foreign mercantile interests, which bought the land over which the track will pass and are doing the work without any concession from the Chinese authorities, although the Tautai knows very well what is going on. The projectors of this short railway trust that its operation will do more to enlighten the natives as to the value of railroads generally, and to convince them that no mischief can result therefrom, than any amount of argument.

The subject of telegraphs has received attention in a more decided way. Mr. Williams, in his No. 51, under date of August 3, 1874, advised the Department that the Formosa trouble had made the Chinese officials at Peking realize the inconvenience of their isolated position and convinced them of the need of more rapid communication. The governor-general at Foo-chow had already allowed the "Great Northern Telegraph Company" of Denmark to erect a line from that city to the Pagoda anchorage, a distance of about twelve miles only, and had contracted for a cable thence to Formosa. The Foo-chow experiment was operated so satisfactorily that a proposition from the same company, to erect a line overland between Foo-chow and Amoy, both in the province of Fuhkien, a distance of about one hundred and eighty-seven miles, was agreed to by the foreign-trade committee, on behalf of the Chinese provincial authorities, with the Great Northern Telegraph Company, who were to have an exclusive franchise for thirty years. By the terms of this agreement two Chinese officials were to accompany the engineer of the company in locating the line, which it was understood should not pass through the large cities along the route; nor should the poles be put up in the public roads so as to obstruct travel, nor in the people's fields without their consent; neither should any graves or tombs be interfered with. The Chinese authorities were to give official protection to the line during and after its construction, and allow the leasing of ground and erection of watch-houses at intervals of ten miles, said houses to be in the care of Chinese employés. The company were to be permitted to obtain ground and erect stations at or near the two prefectual cities of Hing Hwa and Chin Chen, where European operators might reside. The Chinese reserved the right to buy the line at any time after its completion, at actual cost, with interest at a rate to be mutually agreed upon; in the event of such purchase the company to be debarred from erecting a competing line. The company were to put up two wires, one to be worked by the company in its own interest for commercial purposes, the other solely in the interest of the Chinese authorities and for government purposes only, the latter wire to be worked by the company for the government until its own appointees are able to perform the work, the company meanwhile supplying the government with office-room and instruments at Foo-chow, Amoy, and intermediate stations, free of charge, and agreeing to instruct Chinese lads appointed by the authorities in the art of telegraphy, also free of charge. Other provisions of the agreement relate to securing secrecy and dispatch for government messages, and to such subsequent modifications as may be mutually agreed upon, the Chinese authorities finally agreeing to do all things convenient and reasonable to facilitate the early completion of the line.

The foregoing agreement was effected in good part through the aid of Mr. M. M. De Lano, United States consul at Foo-chow, who had previously obtained permission for the erection of the telegraph from Foo-chow to the Pagoda anchorage. The subsequent history of the matter, up to October 7, 1874, may be best given in Mr. De Lano's own words as they occur in a letter to Mr. Williams under the above date:

Before I had time to get the document completed, the Chinese sent their own deputies, or Wai Tuans, over to join the company's engineers and start away on the survey. Just at this time the officials reported to me that they had received a communication from Shên Pao Chen, imperial commissioner to Formosa, to say that all land-lines of telegraph in China should be owned by the Chinese and built by Chinese capital, and they feared this would interfere with the project of creating the Amoy line on the basis of the terms agreed upon. From that moment I saw, on the part of some of the officials, a disposition to recede from the concession which had been given and to treat the matter with indifference, in fact to manufacture obstacles to render the scheme impracticable. At the request of the company's agents I sought and obtained an interview with the Tartar general, governor-general, and the Foutai, with whom I discussed the matter freely, and at length obtaining from them a ready admission that the project had their assent, and a final suggestion that, as Shên Pao Chen had written them as above stated, the company should name the price at which they, the Chinese, could take it over when completed, in case they should find it expedient to buy it. Soon after this interview the Taotai, (president of the trade-committee,) who had been most active in the company's behalf, was superseded by a man who readily arrayed himself against the scheme, in obedience, it is said, to the Tartar general, who is also found now to be opposed to the project. The late Tautai Luh, whose card I inclose, is now on his way to Peking. Before leaving here he called upon me, and assured me that the viceroy, the Foutai and himself were in favor of the line being constructed, but that the Tartar general and present Taotai were opposing it. He promised that on his arrival in Peking he would explain to the Yamen how the concession was made by the high provincial officers, and that if he could bring any influence to bear at the capital in favor of the project. * * He has been and is decidedly on the side of progress, and to the extent of his ability has aided in the advancement of schemes for the advancement of foreign interests and for the progress of the Chinese. * * I have just now been informed by the agents of the Great Northern Telegraph Company that an envoy has just been appointed by the Danish government to proceed to China. * * * * * I am informed that the officials here have been advised by the Yamen to purchase the Foo-chow and Pagoda anchorage line. The company declined to sell it, fearing it would be allowed to fall into disuse. Its construction has demonstrated that land-wires can be easily erected in China, and that the authorities can easily protect them, if they choose to do so.

Under date of October 17, Mr. De Lano informed Consul-General Seward, as I learn through a copy of his letter just furnished me by Mr. Seward, that about eight miles of the Foo-chow and Amoy line had then been completed, land purchased for a station, and a station-house erected, which was occupied by one of the company's employés; all this without one word of opposition from the people along the line. Yet it was known to the company that the officials did not wish the work to go on. At first they simply said the company must wait. Then they addressed an official dispatch to Mr. De Lano, requesting him to order the work stopped, saying that, if the people tear down and destroy the line, the authorities will not be responsible, nor will they undertake to give protection to the company's employés in case they should be attacked by the people. This change on the part of the authorities is thought to have been caused by an intimation from the government at Peking that the action of the provincial authorities in granting a foreign concession, or what is claimed to be such, is not approved. If the statement made to Mr. De Lano, that the imperial government wishes to construct telegraph-lines itself, be not a mere pretext to prevent their construction altogether, there is ground for the belief that China may be contemplating a most important step in advance on her own account. Should the choice arise between no telegraphs at all or telegraphs under Chinese ownership and control, everybody who desires the advancement of the Chinese more than some selfish advantage must prefer the latter alternative. Foreigners would, in any event, have the profits of construction and of management until such time, far in the future, as Chinese may have learned to do the work efficiently by themselves. Foreigners would also derive the advantage

to their commercial, financial, and political interests which rapid communication, even in Chinese hands, would insure.

How far the concession to the Danish company may go toward constituting a claim which the expected Danish envoy would be justified in urging upon the imperial government, I do not know; but if, as I presume is the case, the provincial authorities acted on their own responsibility entirely, under the impulse of the Formosa difficulty, the Peking government may disavow their proceedings and nullify the contract. If it can be shown that they are in any manner bound to respect it, they may conclude to purchase rights which they cannot simply ignore. Much will have been gained, in any event, by bringing the subject of telegraph-building directly before the central authorities, since they will be compelled to discuss it as never before, and may be led to a decision favorable to progress.

One embarrassment may arise from recognizing the Foo-chow and Amoy concession which may influence the decision of the Peking authorities, and that is the danger of rival applications for similar favors from many different nationalities. So long as the Danish company, representing a modest and unaggressive nation, possessed only the lines of shore-cables, no rivalry was excited; but now, that they seem to have obtained the privilege of erecting land-lines, others will apply for concessions. Already it is reported that Russia, which has long desired to connect its Siberian line with Peking, has renewed its request for permission to do so, reminding the authorities here that on a former occasion they promised, if any telegraphic concessions were granted, Russia should have the preference. Russia may now support the demand for the carrying-out in good faith of the provincial concession to the Danish company. In the face of so much importunity the Chinese may decide to undertake telegraph enterprises on their own account.

Still another effort has been made in behalf of the Great Northern Telegraph Company, which was aided by Consul-General Seward, Mr. E. C. Lord, United States consul at Ning-po, and Mr. C. A. Alabaster, Her British Majesty's consul at the same place. It being understood that the provincial authorities had expressed themselves not unfavorable to a line of telegraph between Ning-po and the provincial capital, Hang-chow, Mr. Seward advised Mr. Lord that he could with propriety, if he felt so disposed, exert his influence to procure a concession for this purpose, it being a matter which concerns all foreigners, and which may be the means of aiding in the general introduction of the telegraph in China. During August and September last, as I learn from correspondence forwarded to this legation by Mr. Seward, Messrs. Lord and Alabaster co-operated with Mr. Dreyer, of the Great Northern Telegraph Company, in an effort to obtain the desired concession. For a time there was reason to hope they would succeed, but in October the high officials, to whom the matter had been referred, gave a decision adverse to the project. Nevertheless, as Mr. Lord says in his final letter to Mr. Seward, under date of October 17, "it is well that the matter has been brought so prominently before the authorities. It will have an influence for good. Some sudden pressure may come upon them to change their policy. In this case the way is open for them to act. Besides, the matter has come before them in such a form that they must think about it; and thinking about it may lead them to the conclusion that telegraphs, after all, though foreign, may be useful to the Chinese."

In conclusion of this narrative, I have only to say that, in view of the general interest taken in any signs of progress in China, and consider-

ing that a diplomatic question may arise from the complications detailed, I have thought it my duty to lay all the facts on this subject before the State Department, with intention of following them up with whatever may be developed hereafter.

I have, &c.,

BENJ. P. AVERY.

No. 131.

Mr. Avery to Mr. Fish.

No. 9.] LEGATION OF THE UNITED STATES,
Peking, November 23, 1874. (Received January 28, 1875.)

SIR: On the occasion of my interviews with the viceroy, or governor-general, of this province, Li Hung Chang, at Tien-tsin, which were reported to you in my No. 3, under date of November 5, that functionary made one inquiry which I promised to lay before the State Department. He wished to know if Chinese could be admitted to the Military Academy at West Point, and remarked that his government would consider such admission a great favor and mark of friendship. In this connection he referred to article 7 of the treaty supplementary to that of 1858, wherein it is declared that "citizens of the United States shall enjoy all the privileges of the public educational institutions under the control of the government of China, and, reciprocally, Chinese subjects shall enjoy all the privileges of the public educational institutions under the control of the Government of the United States which are enjoyed in the respective countries by the citizens or subjects of the most favored nations." As a matter of fact, no citizen of the United States has claimed entrance to either of the two "public educational institutions under the control of the government of China," which would doubtless be accessible if the privilege were desired; but that fact would hardly be construed to warrant a denial of educational privileges which might be asked by the Chinese in America. The only question, as I explained to Li Hung Chang, is whether there is authority in our laws for the admission of foreigners to the Military Academy, or whether special legislation to that end would be required on the part of Congress in behalf of the Chinese. After a careful examination of the statutes of the United States, I am unable to find any requirement that cadets in the Military Academy shall be native or naturalized Americans, or the sons of such; and an inspection of the Academy lists for a number of years shows that the appointments of cadets born abroad, and presumably of parents not citizens, have been numerous. The act approved April 29, 1812, (see Statutes at Large, vol. 2, p. 720,) prescribes as the conditions of admission:

"That the candidates for cadets be not under the age of fourteen, nor above the age of twenty-one years; that each cadet, previously to his appointment by the President of the United States, shall be well versed in reading, writing, and arithmetic, and that he shall sign articles, with the consent of his parent or guardian, by which he shall engage to serve five years unless sooner discharged."

By joint resolution passed June 16, 1866, (see Statutes at Large, vol. 14, p. 358,) Congress fixed the age for admission at between seventeen and twenty-two years, and further required candidates "to have a knowledge of the elements of English grammar, of descriptive geography, (particu-

[illegible]

No. 153.

Mr. Avery to Mr. Fish.

No. 47.] LEGATION OF THE UNITED STATES,
Peking, April 8, 1875. (Received June 17.)

SIR: A question has lately arisen between Mr. Tei, the Japanese chargé d'affaires at Peking, and the Tsung li Yamen, relative to the political status of the Lew Chew Islands, which may possibly lead to fresh complications between China and Japan.

The latter country claims sovereignty over the islands, and the so-called King of Lew Chew is said to be now in Japan, the guest of the Mikado, whose superior authority, I am told, he recognizes.

It was to obtain redress for outrages committed on certain Lew Chewans that Japan invaded Formosa, and the subsequent admission by China that the alleged motive of this invasion was a proper one, was construed by the Japanese envoy as a virtual recognition of the jurisdiction of his country over Lew Chew.

In face of all these facts the Lew Chewans continue a custom which they have followed for about two centuries, of sending annual tribute to China by the hands of persons who visit Peking for the purpose, and the principals of whom, whatever may be their rank, are received by the Emperor in much the same way as the deputations from Corea and Mongolia.

But this tribute, as in the case of Corea, is not what the word would literally imply, a kind of tax in dutiful acknowledgment of dependence on the one side and sovereignty on the other; it is only in the nature of a complimentary gift, in token of intellectual, not political homage. It is the good-will offering of a small power to a great one; a manifestation of reverence for the religious hardship of the Emperor of China, such as Catholic states in Europe at one time accorded to the Pope.

In return for the presents they bring, and for their grateful homage, the Lew Chewans, like the Coreans, are permitted to fetch into the country, free of duty, certain articles of barter, on which they make a profit during the period of their annual pilgrimage; being also permitted to take Chinese goods home free of export duty; and the deputation while at Peking is treated as the guest of the government.

On the arrival of the usual deputation this spring, the Japanese chargé d'affaires thought it his duty to protest against what he evidently regarded as constructive disloyalty to his sovereign, and for this purpose sought to communicate with the Lew Chewans.

He was thwarted in this attempt by Chinese officers in charge of the premises where the islanders are quartered. The circumstances of his appeal to the Tsung li Yamen, of his rather cavalier treatment by the

Chinese ministers, and of his final reference of the matter to his government, are given in the statement inclosed. (Inclosure 1.)

The ministers of the Yamen asserted that Lew Chew is tributary to China, but probably without any serious purpose of asserting any sort of sovereignty or jurisdiction over the islands in opposition to the claim of Japan. Yet by refusing a frank acknowledgment of the latter, and permitting a report of their equivocal observations to be made to the Mikado, they have opened the door for a diplomatic difficulty in which they can hardly fail to come out second best. They have not been in an amicable mood toward Japan since the settlement of the Formosa affair, and probably thought they could chaff Mr. Tei with impunity.

Subsequently, finding he treated the subject quite *au sérieux*, they proposed to adjust the question with him, whereupon he coolly informed them that he had referred it to his government, and should await instructions.

There has been, I am led to suppose, some suspicion on the part of the Chinese that Japan had designs on Corea. The latter country being conterminous with China, any scheme looking to its absorption by Japan would be apt to excite protest, if not resistance, although Corea is practically independent, as the Tsung li Yamen informed Mr. Low, at the time he was preparing for his mission to that country.

I am at a loss to account for the strenuous effort made by the French chargé d'affaires to have Mr. Tei refer this Lew Chew question to the foreign representatives here.

The Japanese chargé evidently did not desire such a reference, although out of deference to the Count de Rochechouart, he reluctantly consented to lay the matter before his colleagues.

The English minister, as dean of the body, circulated a note proposing a conference. Knowing all the facts I declined to go into a conference, as also did the ministers of Russia and Germany, and the chargé d'affaires of Spain; so that none was held, and Mr. Tei is now awaiting instructions from his government.

The course of the Tsung li Yamen in the matter is likely to excite some feeling at Yedo, and for that reason I shall forward this dispatch to Mr. Bingham for his information *en route*, asking him to regard it as a confidential communication.

I have, &c.,

BENJ. P. AVERY.

(Inclosure with No. 6.)

Memorandum of statements made to His Excellency Benjamin P. Avery by His Excellency Mr. Tei, charge d'affaires of Japan, regarding discussions between the Lew Chewan and Mr. Young & Yamen, about the presence in Peking of a tribute-bearing embassy from Lew Chew.

PEKING, March 31, 1875.

Mr. Avery inquired of Mr. Tei if he was aware of the presence of Lew Chewans in Peking.

Mr. Tei replied that he was, and on being further asked whether he had seen any of them, proceeded to make the following statement:

"I was learning, much to my surprise, nearly a month ago, of the presence of a tribute-bearing deputation of Lew Chewans in this city. I at once prepared a note and sent it to them by one of the messengers of legation, inquiring for what purpose they were in Peking, and requesting their headmen to come to the legation, in order that I might ask them a few questions. I was touching the gate of the compound in which the deputation from Lew Chew is quartered, my messenger was stopped by two or three Chinese who seemed to be on duty there, and to whom he delivered the letter. They at once saw from the appearance of the envelope that the communication was from a foreign legation, and when they learned by inquiry of the messenger that it came from

considerable scale, of the terms used in the different departments of natural science.

The importance of such a work cannot readily be estimated, as the study of Chinese for diplomatic, educational, and commercial purposes is constantly extending, and as more and more attention is being given to the critical examination of Chinese literature, it must long supply a leading want, and be an indispensable help in the compilation of more exhaustive dictionaries hereafter. It will hardly be out of place here to mention the great service done to the cause of progress in China by another citizen of the United States, (by adoption,) the Rev. S. I. J. Scherzschewsky, who was also at one time in the service of the legation as Chinese secretary, during Mr. Burlingame's term, and before Dr. Williams had assumed the duties of his position. Mr. Scherzschewsky had lately completed a translation of the Old Testament, directly from the Hebrew text into the Mandarin dialect, which is the common or general language of China. The book, in this dialect, can be read by about two-thirds of the population of the whole empire, for it is especially the (Chinese) language of Mongolia and the outlying districts of the empire. It may be said that the Mandarin is spoken by more people than any other language on the globe. Every literary man having a knowledge of some three thousand characters can read it. As the New Testament had previously been translated into Mandarin by Messrs. Blodget, Burdon, and others of the American and English missionary establishments here, the entire Bible is now accessible to the Chinese in the most widely-known dialect of their speech. Mr. Scherzschewsky is a member of the American Episcopal Mission, and had been stationed at Peking previous to his recent departure for a visit to the United States, nearly fifteen years. His translation, however, was made under the auspices and at the expense of the American Bible Society. It occupied him over seven years. The work has recently been printed at the American Board Mission Press establishment, in Peking, by Chinese compositors and pressmen, and bound by Chinese binders, under the supervision of Mr. F. R. Hunt. The fact of such a work being done, in all its branches, in the capital of the Chinese empire, so lately closed to foreigners, is full of interest and encouragement.

I have, &c.,

BENJ. P. AVERY.

No. 156.

Mr. Avery to Mr. Fish.

No. 52.] LEGATION OF THE UNITED STATES,
Peking, May 12, 1875. (Received July 9.)

SIR: Since my No. 46, of April 1, announcing the murderous attack on a British exploring party in Yunnan, and stating the action of the British minister at Peking in relation thereto, it has become evident that the affair is surrounded by circumstances of peculiar gravity. After securing compliance with his demands, Mr. Wade left here for Shanghai, attended by several members of his legation. At that port he can have telegraphic communication with his Government, and can start for Yunnan the two officers who are to join the investigation into the massacre which has been ordered by the Tsungli Yamen. It is understood that Mr. W. S. Grosvenor, second secretary of legation,

and Mr. Baber, Chinese secretary, are the officers appointed to this responsible trust, and that they will proceed from Han-kow overland to their destination; but this is uncertain. Mr. Wade, at last reports, was daily expecting the arrival at Shanghai of Colonel Browne, the chief of the expedition to which poor Margary was attached, with whom he probably wishes to confer before sending forward his agents. In the mean time he had gone up the Yangtze, accompanied by the British admiral and two gunboats, upon what errand is not known.

The Tsungli Yamen, on their part, having delegated to Li Hung Chang the selection of a Chinese official to accompany the British officers, that dignitary has named for the purpose one Sung Pao-hwa, an underling of his own Yamen at Tien-tsin. This appointment has given great umbrage to the British residents of China, and has been severely commented on by the newspapers; but as Sung Pao-hwa accompanies the commission only as an escort, and is not to participate in the inquiry, his inferior rank is a matter of less consequence than it would otherwise be, though doubtless an escort of a higher grade would magnify the importance of the commission in native esteem. Mr. Wade's departure from Peking simultaneously with that of several of his secretaries and their families and of a number of other foreigners, was the cause of many exciting rumors among the Chinese.

The underlings about the Yamen, who are always permitted to eavesdrop, are said to have heard the open threat to leave unless his demands were complied with, which the British minister made on the occasion of a call upon the foreign office with his full staff of secretaries and attendants before sending in his written ultimatum. This meeting was reported to be rather stormy and electric. As he did leave a few days afterward to see his family off for Europe, and for other reasons given heretofore, it was inferred among the common people that he had had a rupture with the Yamen. So much apprehension resulted among them that trade in the Chinese city was impeded for a time, merchants being afraid to venture on outside transactions, and their apprehensions have since extended to the lower provinces. Then there were ominous rumors in the English newspapers, which soon came to the knowledge of the Chinese; some to the effect that the British-Indian government was massing troops in India; others, that an army was moving on the King of Burmah, who is suspected of having instigated the attack on Colonel Browne's party. Dispatches from England showed the existence there of such an indignant feeling as would seem to make a military demonstration on the Chinese frontiers, if not an invasion of Yunnan, not altogether improbable. The leading foreign representatives here have received telegraphic instruction not to leave their posts, as is usual for most of them to do, on the approach of warm weather. M. Von Brandt, the German minister, who had gone as far as Tien-tsin, on his way to visit the ports for consular inspection, returned here at once, on his instructions, and the French chargé d'affaires postponed his intended journey to Shanghai. The Tsungli Yamen have apparently realized that grave complications may grow out of the matter should the result of the investigation in Yunnan not be satisfactory to the British government, as may very easily prove to be the case. Unless responsible principals, who are believed to be Chinese officials, are brought to punishment, English opinion will imperatively demand that the government shall take the matter into its own hands.

With the French already occupying the sea-board of Cochin-China, and promising at no distant day to possess the whole territory, and with the English partly established in Burmah, threatening presently

to absorb the whole kingdom, and burning to open a trade-avenue through Yunnan, which remote province is held for the Chinese with difficulty against insurgent Mohammedans and aboriginal savages, the Chinese ministers have cause to regard the situation with some uneasiness. The prospect of having the French and English as neighbors on the southwest, while Russia already possesses the great region to the north of them—Mohammedan clans are weakening their hold on the western provinces, and Japan casts envious eyes upon Corea, on their eastern side—is not reassuring. Then a strong section of English opinion, both in Europe and Asia, is clamorous for what is termed a more vigorous policy in China, and would welcome a pretext for a fresh resort to coercion. It would be unfortunate if such a pretext were afforded. However slowly, the Chinese are, nevertheless, surely acquiring a better knowledge of foreign ideas, customs, and improvements, and with the confidence that comes of peaceful and kindly relations, are more willing to favor foreign enterprise. To revive their distrust and fear would be, in my opinion, to retard the political and moral ameliorations so much desired on every hand. Renewed coercion might, more speedily than peaceful negotiation, open more ports and secure better commercial facilities; but it would tend to strengthen the anti-foreign feeling, and might lead to disorders which the imperial government, weak enough at best, would find it difficult to quell, and which could not fail to react injuriously upon foreign interests generally. A perusal of the inclosed newspaper extracts, which include a more detailed account of the Margary massacre, and of the subsequent engagement between Colonel Browne's command and the Yunnanese, will give you a tolerably fair idea of the character and motives of the expedition, and of the profound feeling excited by its repulse. It becomes plain, from the information thus given, that while on the one hand the attack and massacre were premeditated, treacherous, and savage, involving a barbarous disregard of the sanctity of passports and friendly letters, on the other hand the expedition was pushed rather rashly into a region which is infested by a wild race, strongly opposed to commercial intercourse with Europeans, and hardly more than nominally under the control of the Peking government. Whether the Burmese are more inclined to permit foreign trade than the Chinese and aborigines of Yunnan, remains to be seen. They are freely charged with at least an equal share of guilt for the late crime, prompted by a desire, as alleged, to continue in the enjoyment of a monopoly of the coveted trade. Great Britain has other causes of complaint against the King of Burmah, and any color of evidence that he instigated the attack on Browne's expedition, would probably lead to his dethronement and the annexation of his dominion. Meanwhile, as appears from an announcement in the Peking Gazette, (official,) an embassy from that ruler to the Emperor of China is well advanced on the way to Peking, and speculation is rife as to its object. As its departure preceded the massacre in Yunnan, it must originally have had an errand independent of that event. Sixteen or eighteen years have elapsed since the last embassy from Burmah to this court. The frontier tribes of the two countries indulge in mutual depredations, but the government of Burmah looks up to that of China with some degree of respect and deference. The embassy now on the way here may have reference to the common objection to the opening of inland trade-routes by Europeans, and to the common fear of territorial aggression from India. In the absence of facts, however, speculation is idle. I ought to add that the Chinese government is just now unusually sensitive on the subject of its border relations, and has apparently decided

on a more vigorous policy toward the insurgents of its outlying provinces. At the arsenals along the coast, the acquisition of foreign arms and drilling of troops by foreign methods is extending; labor is continued on defensive works; four more gunboats have been ordered from England; and experiments are making with Danish and other torpedoes for river and harbor defense.

Considerable numbers of troops have been moved into Formosa to prosecute active operations against the aborigines, and to assist in opening the island to the colonizing enterprise lately authorized to subjects of China, former restrictions on emigration thither having been removed, while permission has been given for the working of coal-mines. More troops have been moved into Kashgar than can well be subsisted, and a large force is about to be sent into Manchuria, on the Corean border, where another Mohammedan outbreak has occurred. It is an interesting fact in the history of China that this force is to be conveyed by sea in Chinese steamers. These facts are not relevant to the Yunnan difficulty, except as they help to explain the present position of this government, which is making unusual and costly exertions to maintain its authority and prestige. With the pride of antiquity it clings to border possessions which are of no profit to it, and are certainly an element of weakness; but this pride is partly mixed with fear, lest in losing its outlying provinces it invite encroachments on the integrity of China proper. Perhaps they have an especial dread of those vigorous propagandists, the Mohammedans, who have in turn supplanted every native dynasty in continental Asia but that of China.

* * * * * * *

I have, &c.,

BENJ. P. AVERY.

(Inclosure in No. 91.)

Sundry extracts from Anglo-Chinese newspapers.

PARTICULARS OF THE MARGARY MASSACRE.

From the North China Herald of May 1, 1875.

We are indebted to Dr. Lamprey, of the sixty-seventh regiment, for a much fuller narrative than has yet been published, of the attack on Colonel Browne's expedition, and the circumstances of Mr. Margary's assassination. The narrative was to be published a few days after it was dispatched to us, in the supplemental paper of the sixty-seventh, the Chronicle, and a copy in very courteously sent to us in advance, with the knowledge that it would have exceptional interest in Shanghai. Old residents will well remember the regiment when it was quartered here, after the campaign in the North and during the Taeping rebellion, and we are of course indebted to the recollection of its stay here, for the present paper. The sixty-seventh, being stationed at Tengyueh, were in the way of getting early information of the expedition.

The account which has reached us from Burmah, of the attack on Colonel Browne's party, removes any possible surmise that it had the character of a riot. The whole affair was clearly premeditated, and comes home more closely than ever to the governor of Momein. As we had learned before, Mr. Margary had gone on ahead of his party to try to overcome some opposition which was shown. He seems to have been persuaded that he had done so, and sent back word to Colonel Browne to that effect. We learn from the Rangoon Gazette that the messenger returned to Mr. Margary after delivering his message, and was one of those killed. A groom only seems to have escaped, and it is from him, we presume, that the information comes that Margary was speared while mounting his horse in response to the messenger's invitation to visit some hot springs in the neighborhood. The narrative we publish below says his head was carried to Momein and exposed on the walls of that city. In the mean time, Colonel Browne's party, deceived by the deception practiced on Margary, was advancing into the trap. He also rode on ahead, and was politely received, while the attacking

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[illegible]

[illegible]

[illegible]

[illegible]

I am, &c.,

BENJ. P. AVERY.

M. M. De Lagoy,
United States Consul, Fan-chow.

No. 160.

Mr. Avery to Mr. Fish.

No. 62.] LEGATION OF THE UNITED STATES,
Peking, June 1, 1875. (Received July 24.)

SIR: Since my last reference to the Margary massacre affair, the Chinese government has received from the governor-general of Yunnan an acknowledgment of its instructions to investigate and bring the guilty to trial, and a report that he has appointed as a commissioner for that purpose the Tartar General Tan, the governor of Tah-li-foo. This officer is a man of decision and character, who put down a rebellion in his district, and who is mentioned in terms of high praise in a letter written by Margary, and lately published in London. He received and treated Margary with sincere friendship, and his appointment to inves-

tigate the circumstances of the latter's death may be regarded as indicating a good disposition on the part of the governor-general of Yunnan.

In reply to inquiries whether they have learned anything as to who are the guilty parties, the Tsungli Yamun repeat their former statement to me, that the murder was probably committed by some of the wild tribes, and they declare that the man "Li-su-tai," mentioned in the memorandum from Mr. Wade, which was inclosed in my No. 46, is not a Chinese official, but the chieftain of one of these tribes.

They emphatically state, however, that these barbarians are within Chinese jurisdiction, and that they shall be punished. Evidently the invasion of Formosa by Japan has not been without its lessons.

The English commissioners who were to be sent to Yunnan by Mr. Wade had not gone farther than Han-kow at last accounts. Mr. Wade himself had returned to Shanghai, where he is awaiting the arrival of Colonel Browne, not expected for a fortnight longer, who will bring some papers to complete the English case.

The Chinese mind is calming down on the subject, though there is a prevalent apprehension that the British will push their boundary up to the line of Yunnan by the speedy absorption of all Burmah which they do not already possess.

This consummation seems to be devoutly wished for by nearly all the foreign residents of China.

I have, &c.,

BENJ. P. AVERY.

No. 161.

Mr. Avery to Mr. Fish.

No. 63.] LEGATION OF THE UNITED STATES,
Peking, June 11, 1875. (Received August 9.)

SIR: In further reference to the question of missionary rights beyond treaty-ports, I have the honor to inclose an unofficial note from E. M. Johnson, esq., consul at Han-kow, discussing a correspondence between Mr. Beebe, formerly acting consular agent at Kiu-kiang, and Mr. Low, in which the latter clearly states the views set forth at more length in his dispatches to the Department.

In my reply to Mr. Johnson I discourage the tendency to establish permanent missions farther in the interior. It seems to be unnecessary to add anything to what I have already written on the subject.

I have, &c.,

BENJ. P. AVERY.

(Inclosure 1 in No. 63.)

Mr. Johnson to Mr. Avery.

HAN-KOW, *May 17, 1875.*

MY DEAR SIR: Please permit me to refer unofficially to my official communication to you of the 1st instant, in reference to the Shinchang affair, and to hand you certain documents touching the question at issue, which may not have come to your excellency's notice, being unofficial papers.

The questions submitted in my unofficial communications above referred to were asked Mr. Low in a private note, as far back as 1873, under the following circumstances: In 1872 Mr. Hart, then as now superintendent of the American Methodist Episcopal mission at Kiu-kiang, expressed a wish to establish a station in the interior, at, I think,

[illegible]

No. 169.

Mr. Avery to Mr. Fish.

No. 77.] LEGATION OF THE UNITED STATES,
Peking, July 13, 1875. (Received September 10.)

SIR: The Chinese government has lately sent more troops forward to quell the so-called insurrection in the Manchurian province of Shingking, bordering on Corea.

Fourteen hundred foreign-drilled troops were conveyed to that province, by Chinese steamers, during last month, proceeding from Taku up the gulfs of Pechele and Liantung, to the river Lianho, and by the river into the interior. These steamers were followed by a German bark laden with shell and other munitions of war. The transportation of troops and munitions by steamers to the very seat of trouble, where these steamers will be used as gunboats in co-operation with the land-forces, is a novelty in Chinese military operations worthy of notice. The preparations made would appear to indicate a rather formidable outbreak. The most full and accurate information on the subject which has come to my knowledge is contained in the inclosed copy of a dispatch from our consul at New-chwang, Mr. F. P. Knight.

In the extreme south of the empire there has been another outbreak of a different character, by several hundred natives engaged in opium-smuggling, who occupied a village near the Pagoda Anchorage, defied the authorities, and even organized an attack on the customs premises. A considerable force of imperial troops, report puts it as high as 3,000, was recently sent to the smugglers' village, when the smugglers fled to the hills without a fight.

Such outbreaks as this, and that in Shingking, which are frequent in China, may be regarded as natural incidents to a dense population, large portions of which must at times feel the pressure of want, and become reckless and desperate. That they are not still more frequent

and extensive is due more to the Chinese instinct for order than to the vigor of the government, though latterly the authorities have shown unusual promptitude and energy in the adoption of repressive measures, which results in part from the greater resources for rapid offensive movements enjoyed through the establishment of arsenals and military depots, under foreign direction, at various points on the coast.

The empire, however, greatly needs the opening, under liberal sanctions, of more avenues of labor and mercantile enterprise, which would do more to maintain peace and increase the general prosperity than any increase of military efficiency, though the latter may, in time, make the government feel more self-reliant, and more disposed to risk taking the initiative in improvements.

The operations against the savages in Formosa continue, with reported successes latterly to the imperial arms. Repeated re-enforcements have been sent to the island, and the disposition to thoroughly subject it seems now very strong.

This result obtained, and a liberal policy adopted toward native and foreign enterprise, Formosa would soon prove a source of increased prosperity to the empire.

I have, &c.,

BENJ. P. AVERY.

(Inclosure in No. 91.)

Mr. Knight to Mr. Avery.

UNITED STATES CONSULATE,
Newchwang, June 10, 1874.

SIR: Some private communications having appeared in the Shanghai newspapers which tend to give very erroneous impressions regarding the condition of this district—and I take particular exception to the letter in the Courier of the 31st ultimo—I would inform you that the surrounding country is, so far as foreign interests and trade generally is concerned, in a peaceful condition.

Manchuria, as you are doubtless aware, has ever been infested by small bodies of wandering marauders, whose proceedings have at times proved a hinderance to trade and a danger to travelers.

A body of these marauders established themselves last month at a small town called Tung-chuan-tai, situated about twenty miles from this by the river, headed by a man named Cheng-tsu-chen, whose aim is unknown. This disorder, however, was quickly local, and was soon settled on the appearance of a detachment of the military police of this place.

Difficult as it is to obtain reliable information from Chinese sources, there is reason to apprehend this deplorable state of affairs to the conduct of the late governor, Tsung-yeh, a man of high character but whose extreme old age (he exercised him from exercising a strict surveillance of his secretary and other subordinates, some of whom have lately been degraded for complicity with bad characters.

The recent appointment, however, of Chang-chih, a brother of his excellency Chang Hsun, as governor of this province is satisfactory inasmuch as he bears a character which leads us to hope that the evils of the brigands along the road is at an end.

A regiment of Tien-tsin foot-up-drilled soldiers has arrived from that place, and some mounted cavalry are soon to follow subject to his orders.

Many are the speculations as to what special purpose these troops are intended for, besides keeping order generally throughout the country; and there is a report that some rich gold-mines have been discovered lately in Kirin, which are attracting numbers who may in time become troublesome. My own belief is, however, that these troops were ordered hither to suppress the illegal cutting and shipment of timber which is being carried on, regardless of all restraint, by a number of coolies from the strip of country said to be thirty miles wide, which marks the boundary between Chinese territory and Corea.

Last autumn these wood-cutters came into collision with the local authorities at one of the two small towns named on the chart Ta-kou-li and Tung-kou-li, east of the

No. 182.

Mr. Seward to Mr. Cadwalader.

No. 847.] UNITED STATES CONSULATE-GENERAL,
Shanghai, November 11, 1874. (Received December 26.)

SIR: I have the honor to transmit to you the newspaper reports in regard to the Formosan difficulty since the date of my last letter in this connection. You will see that a settlement has been arrived at. I am not able to say whether the Chinese have made an unqualified admission that the Japanese were right in going to Formosa. Nor can I say whether, if they have made this admission, they have not been actuated by a desire to preserve the peace, even at the cost of their own dignity. The money paid by China is to go in part to the alleged Lewchewan sufferers. The remainder is paid, as it is claimed, as a consideration for the material which the Japanese leave upon the island. The Japanese admission of the sovereignty of China is unqualified. The provisions for the lighting of the Formosan coast, the occupation of the savage territory, &c., are in the interests of civilization and humanity. Japan has been to all appearance the winner. This has happened because she has been the bolder and more active. She had no heart in the quarrel as a quarrel. She did not undertake it in the interests of humanity, as has been claimed. A number of her restless men, supported by an idle soldiery, made a foreign enterprise the alternative of civil war. They wanted to go to Corea, but Iwakura prevented this. They then prepared to go to Formosa, but the government, uncertain as to the merits of the matter, and unprepared to precipitate a quarrel with China, ordered that the expedition should be arrested at Nagasaki. Its leaders, however, went on in defiance of the government. From that time the efforts of Japan have really been directed toward a preservation of the peace, but in face of the fact that the expedition had left their soil and descended upon that of China, they had no alternative but to assume a bold attitude. This attitude they have preserved throughout, and they have won from China what the world will consider a victory. That victory brings them 500,000 taels, or say $666,000, and has cost them $6,000,000 of expenditure. I do not hesitate to say again, as I have said in the past, that while China ought to have taken better care of the Formosa coast than she has done, the course of Japan has not been straightforward. She never even hinted to China that she had suffered gravely in Formosa. She never mentioned that she should send there a great expedition. She never said that she would hold China responsible for the expenses of that expedition. She has simply allowed a lot of her discontented people to force a great raid upon the territory of an unoffending nation, and she has then under threat of war extorted from that nation a settlement which will seem to defend all that she has done. If there is one lesson rather than another which I should take out of the whole business, it is that when the Chinese are so timid as to yield in such manner to unreasonable demands it is a pity that they cannot be brought to listen to those reasonable representations in favor of internal improvements and the like, which are always being urged upon them in an indifferent way.

I have, &c.,

GEORGE F. SEWARD.

[Inclosure 1 in No. 847.—Translation.]

FORMOSA.

Placard by "All the scholars and people of Formosa."

[From the Japan Mail.]

The following is the public expression of our opinion:

It appears to us that the whole of Formosa has been included in the map of China for more than two hundred years; and that the several emperors of our country in their successive reigns have been moderate in inflicting punishment and sparing of taxation, so that the four classes of people have enjoyed happiness and have grown and prospered. As to the wild aborigines behind the hills, with their dwellings perched on high or burrowed in the earth, they are far from having human feelings. Yet in the years which have gone by, the savage aborigines have turned into tame aborigines, and the tame ones have turned into citizens; so that the orderly citizens of to-day are all the wild aborigines of former times.

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[Inclosure 2 in No. 847.]

Settlement of the Formosa difficulty.

[From the North China Daily News.]

SHANGHAI, *November* 9, 1874.

The uncertainty which prevailed as to the issue of the negotiations between China and Japan, regarding the Formosa expedition, was put an end to on Saturday by the arrival of steamers from the north, bringing not only news of the peaceful settlement of the difficulty, but the Japanese ambassador, Okubo, and his numerous suite. A treaty embodying the terms of settlement was signed on 31st October by the Japanese ambassador and the chiefs of the Tsung-li Yamun. So far as we have been able to ascertain, it admits, on the part of Japan, the sovereignty of China over the whole of Formosa; and on the part of China, that Japan was justified in dispatching the expedition, under the circumstances of the massacre of her Loochewan subjects and the action taken upon it at the time the treaty of friendship and commerce was negotiated between the two countries. It then provides for the payment of the sum of Tls. 500,000, one-fifth of which is in the nature of compensation to the families of the murdered Loochewans, and is to be paid at once; the remaining Tls. 400,000 as indemnity for the expenses of the expedition, to be paid when the Japanese retire from Formosa, which it is stipulated they shall do by 20th December. The indemnity is to be paid out of the revenues of the Foochow and Tien-tsin customs. The Japanese high commissioner having thus settled the matter, left Peking at once; and it is now his intention, we understand, to proceed very shortly to Amoy and Formosa in the Kanagawa-Maru, (late P. and O. steamer Madras,) instead of returning direct to Japan, in order that the stipulations of the treaty may be carried out under his own eye. It is difficult to understand the object of his doing so, but it may be conjectured, if we recall the contradictory conditions under which the expedition set out from Japan. The Kanagawa-Maru arrived here yesterday, in order to be at the disposal of the commissioner. The Japanese resident-minister, Yanigawari, remains at Peking, as we are informed, to have audience of the Emperor before returning to Japan. General Le Gendre and other gentlemen connected with the embassy have gone to Japan in the war-vessels which were waiting the result of the negotiations at Tien-tsin and Chefoo. Congratulatory and complimentary visits have already taken place between the Chinese and Japanese officials in Shanghai. Immediately previous to the settlement arrived at, the course of the negotiations appears to have been extremely critical, and hence the contradictory reports that emanated from the capital—the rumors of war which alternated with assurances of peace. About the middle of October the difficulty was in a fair way to be adjusted, but a few days later, when the question of indemnity was broached, the understanding partially arrived at came to nought. Okubo is reported to have suggested an indemnity of five millions as the price at which the Japanese were willing to retire from Formosa and acknowledge the sovereignty of China over the whole island; and, on the rejection of this proposal, to have next claimed a modified indemnity, and an acknowledgment that his government was justified all through in the matter of the expedition. This also the Chinese refused to concede, but they offered to pay Tls. 100,000 as compensation for the massacre of the Loochewans

wrecked on their coasts. The Japanese commissioner refused to listen to such an offer, and from the unyielding attitude of both parties a rupture seemed inevitable. On Saturday, the 24th October, both the commissioner and the minister announced their intention of leaving Peking on the morning of Monday following. General Le Gendre and a portion of the embassy started in advance of the envoys, and on their arrival at Tien-tsin were not a little puzzled to account for the non-appearance of the latter at the expected time. On the 25th, however, Her Britannic Majesty's minister, Mr. Wade, had induced Okubo to put off his departure and make another effort to arrange the matter amicably; and, after a week's further negotiations, the agreement which we stated at the outset was arrived at, with Mr. Wade's assistance.

[Inclosure 3 in No. 847.]

Settlement of the Formosan difficulty.

[From the North China Daily News.]

SHANGHAI, *November* 10, 1874.

Unimportant as is apparently the settlement of the late difficulty between Japan and China on account of the insignificance of the sum which the latter has agreed to pay the former, it is difficult to overrate the value of the principle which China has been compelled to yield to a power so comparatively inferior to itself. From whatever point of view it is regarded, it is an admission that Japan was not only right in the claims it had advanced, but that it was also right in the mode which it took to enforce them; and this gives it a significance and importance which we trust will not be lost sight of by the ministers of foreign powers when seeking to enforce claims founded on similar considerations from the Chinese government. Whether the indemnity which is to be paid as the price of the evacuation of Formosa by the Japanese is considered in the light of a compensation to the families of the Loochewan crews murdered by the savages, in the light of a payment in respect merely of the houses erected and the roads built in Formosa, or in the light of a return of the expenses incurred by the Japanese in connection with the expedition, it amounts to what we have before stated, namely, an admission that the Japanese were right in what they did, and the Chinese wrong in what they refused. Viewed as a measure of compensation to the families, it is certainly in excess of any damage sustained by them; as a mere *quid pro quo* for the cost of the houses, &c., built, it may be an equivalent; as a compensation for the general expenses of the expedition it is clearly insufficient. Any way, it may be taken, not so much as an equivalent for the wrong done and the cost incurred in getting it repaired, as a concession that the principle asserted by the Japanese was a sound one. About the facts there can be no dispute; the events themselves are so recent that they are within everybody's memory. Some Lewchewan junks were wrecked on the coast of Formosa, and their crews murdered by the savages in the island. If that portion of the island did not belong to China, there could be no pretense for seeking an indemnity from China. If such portion belonged to China, it was the duty of the provincial government so to govern the savage inhabitants as to prevent the perpetration of the wrong or punish the offenders. If the provincial government was careless in the performance of so self-evident a duty, or the central government had left it so powerless that it was unable to perform this ordinary task, the central government was undoubtedly liable to repair the wrong which the subjects of a friendly power had sustained. This was the position assumed by the Japanese. The Chinese government sought, as usual, to clear itself from all liability by a simple denial of responsibility; and while on the one hand it asserted its sovereignty, and declared the Japanese expedition to be an infraction of that sovereignty, it denied the obligation which is a necessary consequence of it. Such arguments and such logic had hitherto prevailed with the diplomatic agents of the older civilized nations, but the youngest was unable to see their force or application. The youthful vigor of the younger civilization was of quite a different complexion to the worn-out languor of the elder; hence it achieved success where in other hands there would have been a certainty of failure. No doubt the foreign ministers at Peking were thunderstruck at the presumption of Japan. Like the early fathers of the Christian church, it was for them and them only to explain impossibilities and reconcile contradictions. Whatever they said, or thought, or wrote, however mistaken, was to be considered the truth, and to be accepted as such. The Japanese had been guilty of political heresy, as our Protestant forefathers were of religious heresy. To their unsophisticated minds a wrong done was to be redressed; and if the wrong-doer could be discovered, he was to pay the penalty. Before this guiding principle, the doctrines of Confucius and modern diplomacy fell prostrate to the ground; and the result, little satisfactory as it may be in

point of amount, is visible in the negotiations which have just terminated. We sincerely trust that the lesson which Japan has taught China will not be without its effect on the future bearing of foreign ministers at Peking, for it shows what a little earnestness and firmness may effect. Almost, if not all, the foreign claims on China, which are pigeon-holed in the chanceries of the different legations in Peking, which have been languidly urged, and for most unsatisfactory and puerile reasons shelved, present exactly similar features with that which lay at the bottom of the Japanese difficulty, namely, a wrong suffered and a wrong unredressed. Thanks to the Japanese, the way has been now shown in which such questions should be dealt with. A precedent has been created, of which we trust that, in humble imitation of the youngest member of civilized nations, the agents of the older nations will not be slow to avail themselves; and although the amount paid is so small that it may be apprehended the Chinese government will too soon forget the lesson taught them, there can in future be no excuse for our representatives, should they, as too often in times past, allow the settlement of a claim to be lost sight of in interminable discussions whether central or provincial government, or unattainable private individuals, should properly be held responsible.

No. 183.

Mr. Seward to Mr. Cadwalader.

No. 899.] UNITED STATES CONSULATE-GENERAL,
Shanghai, March 15, 1873. (Received May 7.)

SIR: You will have learned, perhaps, through the public press, that the Chinese government has recently made several loans from foreigners. In this connection I have the honor to transmit to you several editorial articles from the North China Daily News. You will observe that the rates of interest stipulated for are high. I regard this as indicating not so much want of confidence in the capacity of China to carry loans, or in her good faith, as her lack of skill in the negotiation of the inconsiderable loans mentioned.

The fact that the government has come forward to borrow money of foreigners may be held to indicate that the financial straits of China are great, and more or less that the old unreasoning dislike and jealousy of foreigners is less strong than heretofore.

I am, &c.,

GEORGE F. SEWARD.

(Inclosure in No. 899.)

Foreign advances on the Chinese loan.

I.

If the rumor is true that a new Chinese loan is to be placed on the London market, it will be interesting to see at what rate it can be floated as compared with the two loans contracted by Japan. The small portion offered in London of the loan made lately through the Hong-kong Bank hardly affords a criterion. Otherwise the public seem to have fixed the interest in that case at a little over 8 per cent. The difference between this rate and that of the more recent loan from the Oriental Bank, which is reported to be 10½, seems at a first glance to be startling; but it is, we believe, as regards the rate paid by the Chinese government, more apparent than real. The high rate of exchange which was charged by the Hong-kong and Shanghai Bank fully covers the difference between 8 and 10½ per cent. as a total charge on the loan. What we have now to do with, however, is the market value of the stock, and it is curious to note that the Chinese 6 per cent. stock is quoted here at exactly the same rate which the Japanese 7 per cent. stock commands in the London market. Unless, therefore, we assume that a higher value will be eventually put upon the Chinese stock in London than it commands here, we may take it that Japanese credit is 1 per cent. bet-